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## Co-operative Bank Kenya

# Q1'2026 Earnings Note

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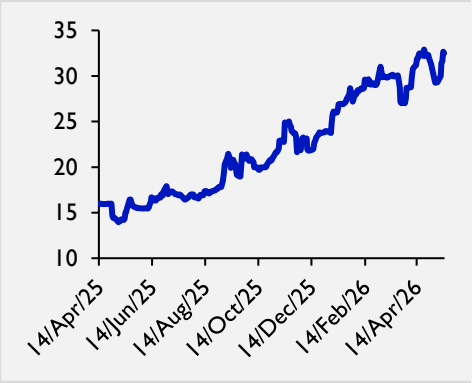
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# Co-operative Bank FY'25 Earnings Note

19th May 2026

| Ticker Information | |
|---|---|
| **NSE Code:** | COOP |
| **Issued Shares (Bn):** | 5.87 |
| **52-week high:** | KES 34.30 |
| **52-week low:** | KES 13.8 |

Chart 1: Price Trend (Last 12 Months)




*Source: NSE, AIB-AXYS Research*

## Historical Share Performance

| Last | 1M | 3M | 6M | 12M |
|---|---|---|---|---|
| Change | 1.9% | 11.7% | 31.0% | 103.1% |

*Source: NSE, AIB-AXYS Research*

| Recommendation | Current Price | Target Price |
|---|---|---|
| *BUY* | KES 31.95 | KES 34.92 |

## Summary


- **Co-operative Bank Kenya posted a 21.3% y/y increase in Profit After Tax for the first three months on account of: i) a 12.2% jump in net interest income to KES 15.98 Bn, and ii) a 16.3% growth in net non-interest income to KES 8.07 Bn, which ultimately lifted total operating income.** On the balance sheet, the loan book expanded by 13.6% y/y to KES 436.76 Bn, while customer deposits increased by 16.6% y/y to KES 612.22 Bn. The stock of gross non-performing loans eased by 3.7% y/y to KES 71.37 Bn from KES 73.53 Bn.


## Key Highlights

- **Earnings Performance:** Interest from loans and advances rose by 4.6% y/y to KES 14.60 Bn despite a lower interest rate environment, with a 13.6% growth in the loan book offsetting the lower interest rates. Additionally, revenues from government securities rose by 3.3% to KES 7.26 Bn, in tandem with a 12.7% y/y increase in government securities holdings. Interest income from deposits and placements registered a 16.1% y/y increase to KES 1.42 Bn, coinciding with a significant increase in placements. This performance ultimately led to a 4.8% growth in total interest income to KES 23.28 Bn.

  Interest expense on customer deposits eased by 13.1% y/y to KES 6.05 Bn from KES 6.95 Bn, despite a 16.6% y/y increase in customer deposits, implying that the lender capitalized on the lower interest rate environment to bargain for cheaper deposits. *(We note that CASA accounted for 60.0% of total client deposits.)* Other interest expenses and interest expense on deposits and placements increased by 19.0% and 200.9%, respectively, to KES 1.18 Bn and KES 0.08 Bn, respectively.

  On the other hand, total non-funded income grew by 16.3% y/y to KES 8.07 Bn. This performance was characterized by 18.4% and 10.7% increase in fees & commissions and other fees to KES 3.28 Bn and KES 3.38 Bn, respectively. The Group's FX trading income eased by 2.2% y/y to KES 0.78 Bn *(this was an improvement compared to a 44.5% decline recorded during the same period last year)*

## Asset Quality

Gross Non-Performing Loans decreased by 3.7% y/y to KES 71.37 Bn as the lender continues to deploy credit management initiatives such as *"Project Kilele"*. We note that the Building & Construction and Real Estate sectors reported the highest NPL rates at 42.2% and 31.6%, respectively. Additionally, the Gross NPL ratio improved by 1.2 percentage points to 14.9% from 17.3% on account of lower NPL levels and growth in the loan book.

## Balance Sheet Dynamics

The balance sheet recorded an expansion during the period under review. Net loans grew by 13.6% y/y and 3.7% q/q to KES 436.76 Bn. In our previous update, we expected this to materialize as the appetite for loans grew in the country on the back of lower lending rates and increased demand for credit by the private sector. Retail and Corporate accounted for 48.0% and 26.9% of total loans from 48.9% and 25.6%, respectively, in 2025. Government securities increased by 12.7% to KES 272.88 Bn. On the funding side, total customer deposits increased by 16.6% y/y and 6.6% q/q to KES 612.22 Bn. Notably, during the period under review, there was increased deposit generation by agents as well as improved deposits from the South Sudan subsidiary. The bank has also been opening new branches to act as collection points for deposits. CASA deposits accounted for 60.0% of total deposits, while 25.5% of total deposits came from the retail segment.

## Outlook

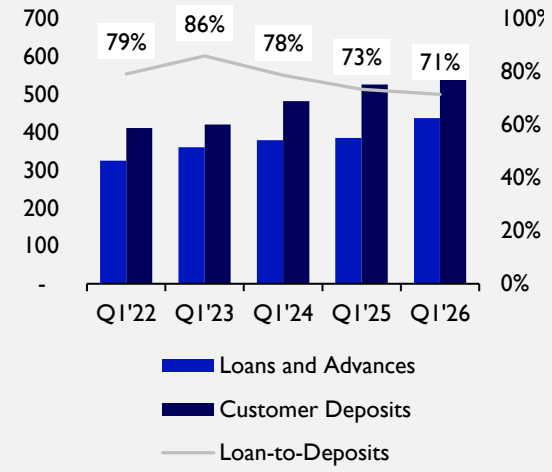
The catalysts for growth that we identified in our FY'25 earnings note have gradually materialize. To mention: i) a promising South Sudan unit, where the subsidiary reported a 310.5% growth in Profit Before Tax to KES 99.00 Mn from a loss of KES 47.00 Mn, ii) a resilient bancassurance unit and a strong Co-optrust Investment Services unit, and iii) a resilient core lending business. We expect the South Sudan subsidiary to carry on with its momentum through 2026 and remain a key anchor to the Group's overall performance. We are of the view that other subsidiary businesses will continue posting growth in earnings, lifting the Group's net earnings.

During the first three months, the lender capitalized on the improvement in credit demand in the country to disburse more loans, while also taking advantage of the interest rate environment to contain the cost of funds, thereby preserving margins; we expect this trend to continue through the year. We also noted an improvement in asset quality. In our full-year outlook, we highlighted that there was room for improvement in asset quality as lending rates continued to ease. Additionally, the non-funded side is proving to be a key driver of growth, with increased transactions via alternative channels providing a foundation for growth in fee-based income. We also noted an improvement in FX income, and we expect this segment to report stronger performance in the coming quarters. One key downside risk remains the unresolved conflict in the Middle East, which is driving inflation higher and may weigh on business investment decisions, as well as affect some export-oriented businesses.

## Recommendation

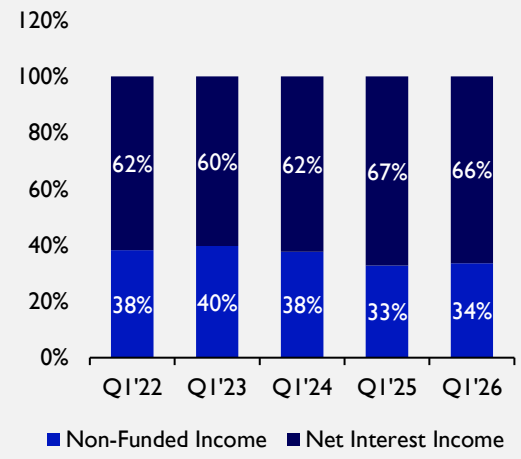
**We issue a *BUY* recommendation on Cooperative Bank at the current price level. Co-op has a strong core lending business, a solid balance sheet position, and a growing subsidiary business portfolio.** At the current market price, the stock is trading at a P/E ratio of 6.0x and a P/B ratio of 1.1x. Our one-year target price for Cooperative currently stands at KES 34.92 - representing a c. 9.2% upside potential from current levels.

Chart 2: Faster Deposit Mobilization



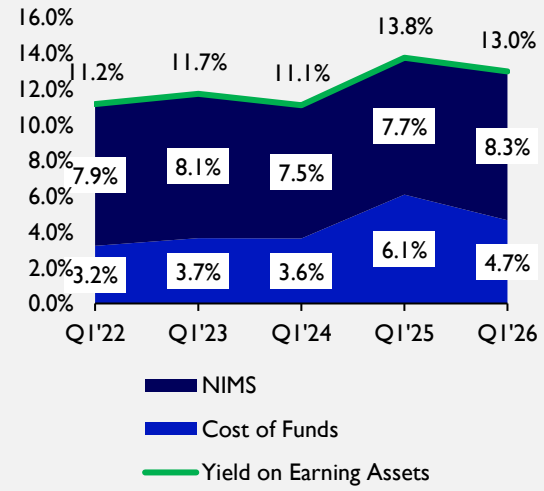

*Source: Company filings, AIB-AXYS Research.*

Chart 3: Revenue Distribution




*Source: Company filings, AIB-AXYS Research.*

Chart 4: Margins Trend





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| Income Statement (KES Bn) | Q1'22 | Q1'23 | Q1'24 | Q1'25 | Q1'26 | % y/y change |
|---|---|---|---|---|---|---|
| Net Interest Income | 10.37 | 10.77 | 11.70 | 14.24 | 15.98 | ▲ 12.2% |
| Net non-Interest Income | 6.41 | 7.10 | 7.08 | 6.94 | 8.07 | ▲ 16.3% |
| **Total Operating income** | 16.78 | 17.87 | 18.78 | 21.18 | 24.05 | ▲ 13.6% |
| Provision for Impairment | (1.54) | (1.53) | (1.59) | (2.11) | (2.08) | ▼ (1.5%) |
| Total Operating expenses | (9.02) | (9.82) | (9.86) | (11.75) | (12.74) | ▲ 8.4% |
| **Profit before tax** | 7.79 | 8.15 | 9.01 | 9.63 | 11.37 | ▲ 18.1% |
| **Profit after tax** | 5.84 | 6.11 | 6.58 | 6.93 | 8.41 | ▲ 21.3% |
| Annualized EPS | 3.98 | 4.17 | 4.49 | 4.73 | 5.73 | ▲ 21.3% |

| Balance Sheet (KES Bn) | Q1'22 | Q1'23 | Q1'24 | Q1'25 | Q1'26 | % y/y change |
|---|---|---|---|---|---|---|
| Government Securities | 183.36 | 179.23 | 200.21 | 242.13 | 272.88 | ▲ 12.7% |
| Loans and Advances | 324.48 | 360.11 | 378.10 | 384.55 | 436.76 | ▲ 13.6% |
| **Total Assets** | 596.99 | 631.07 | 714.67 | 743.19 | 884.57 | ▲ 19.0% |
| Customer Deposits | 410.83 | 419.76 | 481.76 | 525.17 | 612.22 | ▲ 16.6% |
| **Total Liabilities** | 493.89 | 518.19 | 588.96 | 618.37 | 710.47 | ▲ 14.9% |
| **Shareholder's Funds** | 102.70 | 112.61 | 127.10 | 155.89 | 173.75 | ▲ 11.5% |

| Ratio Analysis | Q1'22 | Q1'23 | Q1'24 | Q1'25 | Q1'26 | % y/y change |
|---|---|---|---|---|---|---|
| **Spreads Analysis** | | | | | | |
| Yield on Assets | 11.2% | 11.7% | 11.1% | 13.8% | 13.0% | ▼ (0.8%) |
| Cost of Funds | 3.2% | 3.7% | 3.6% | 6.1% | 4.7% | ▼ (1.4%) |
| Net Interest Spread | 7.9% | 8.1% | 7.5% | 7.7% | 8.3% | ▲ 0.7% |
| ROaE | 19.3% | 20.7% | 18.8% | 18.2% | 18.9% | ▲ 0.7% |
| ROaA | 3.3% | 3.6% | 3.3% | 3.5% | 3.8% | ▲ 0.3% |
| Profit Margin | 34.8% | 34.2% | 35.0% | 32.7% | 34.9% | ▲ 2.2% |
| **Operating Efficiency** | | | | | | |
| Cost to Income Less LLP | 44.6% | 46.3% | 44.1% | 45.5% | 44.3% | ▼ (1.2%) |
| Cost to Assets Less LLP | 1.3% | 1.3% | 1.2% | 1.2% | 1.2% | ▼ (0.0%) |
| Loan to Deposit Ratio | 79.0% | 85.8% | 78.5% | 73.2% | 71.3% | ▼ (1.9%) |
| **Asset Quality** | | | | | | |
| Gross NPL Ratio | 14.1% | 14.3% | 16.1% | 17.3% | 14.9% | ▼ (2.5%) |
| NPL Coverage | 65.3% | 62.2% | 58.6% | 64.2% | 67.7% | ▲ 3.5% |
| **Capital Adequacy** | | | | | | |
| Core Capital/TRWA | 15.3% | 16.3% | 18.2% | 19.8% | 21.1% | ▲ 1.3% |
| Total Capital /TRWA | 16.6% | 17.2% | 21.6% | 22.8% | 23.2% | ▲ 0.4% |
| Liquidity | 54.1% | 50.6% | 52.0% | 61.3% | 63.4% | ▲ 2.1% |




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